



MEMORANDUM

TO: City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: November 18, 2025
SUBJECT: Cost-of-living Wage Increase Proposed for Approval

I am submitting for your review and consideration a resolution proposing a cost-of-living salary adjustment (COLA) for all full-time and part-time employees of the City of Cheyenne, effective January 1, 2026.

Background

The City of Cheyenne recognizes that escalating cost-of-living pressures continue to affect the financial stability of City employees and their families. The State of Wyoming Economic Analysis Division's Cost of Living Index for the second quarter of 2025 reported a statewide inflation rate of 4.2%, with the Southeast Wyoming region, including Cheyenne, reflecting similar inflationary pressures. Addressing these higher costs is essential to maintaining a competitive and equitable compensation structure for City staff.

Summary of Resolution

The attached resolution requests a three percent (3%) cost-of-living salary adjustment for all employees, while balancing the City's commitment to fiscal responsibility. This salary adjustment will apply to all full-time and part-time City employees employed as of November 30, 2025, except elected officials and Board of Public Utilities staff.

The estimated six-month cost (including benefits) of this request for full-time only employees is \$555,345 from General Fund reserves and \$160,858 for all other City funds. Final costs may fluctuate depending on any new hires before November 30, 2025, or terminations occurring before January 1, 2026. Additionally, the variable schedules of part-time employees prevent an accurate estimate at this time; therefore, a reappropriation at fiscal year-end for part-time staff will be requested if necessary.

Requested Action

Please review and consider adoption of the attached resolution.

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION AUTHORIZING A THREE PERCENT (3%) COST-OF-LIVING SALARY ADJUSTMENT FOR ALL FULL-TIME AND PART-TIME EMPLOYEES OF THE CITY OF CHEYENNE. "

WHEREAS, the City of Cheyenne recognizes that increases in the cost of living continue to affect the financial well-being of its employees and their families;

WHEREAS, maintaining a fair, transparent, and competitive compensation structure is vital to the City's ability to attract, retain, and reward a skilled and dedicated workforce committed to providing high-quality public service;

WHEREAS, cost-of-living adjustments represent a fiscally responsible means of offsetting inflationary pressures and ensuring that employee compensation remains aligned with regional economic conditions;

WHEREAS, on November 4, 2025, the State of Wyoming Economic Analysis Division released the Wyoming Cost of Living Index for the second quarter of 2025, reporting a statewide increase in inflation compared to the same period in the previous year;

WHEREAS, the regional inflation rate for Southeast Wyoming, which includes Albany, Carbon, Goshen, Laramie, Niobrara, and Platte Counties, was reported at four and two-tenths percent (4.2%), reflecting a continued trend of higher living costs within the region; and

WHEREAS, the Governing Body of the City of Cheyenne values fiscal stewardship and seeks to balance competitive employee compensation with long-term budgetary sustainability.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that effective January 1, 2026, all full-time and part-time employees employed by the City as of November 30, 2025, excluding elected officials and employees of the City of Cheyenne Board of Public Utilities, shall receive a three percent (3%) cost-of-living salary adjustment;

BE IT FURTHER RESOLVED, that the City Treasurer is hereby directed to prepare and submit a budget reappropriation allocating the necessary funds from available reserves, operational efficiencies, and eligible grant funding sources to implement this cost-of-living adjustment in a manner consistent with sound fiscal management; and

BE IT FINALLY RESOLVED, that the Governing Body continues to affirm its commitment to maintaining a stable and sustainable municipal workforce through periodic review of compensation policies and prevailing market conditions.

PRESENTED, READ AND ADOPTED THIS _____ DAY OF
_____, 2025.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kylie Soden, City Clerk